

the case of 'Frisco. It is well understood that the amounts spent on maintenance are largely a matter of arbitrary determination by the management and hence afford a method for more or less artificially controlling the net earnings. As compared with other roads in the same territory, it would seem that 'Frisco has been undermaintained and M. K. & T. overmaintained during the past year. The result of this diverse policy has been to make St. Louis-San Francisco's net earnings appear considerably larger and those of "Katy" considerably smaller, than on a normal basis of upkeep expenditure.

If in the case of both roads the latter had been taken at 35% of gross—apparently a reasonable figure—the net earnings of M. K. & T. would have been \$2,300,000 *greater* and those of 'Frisco \$3,280,000 *smaller* than the results actually reported.

How radically such a revision would affect the position of the various securities is shown by the following analysis:

TABLE VII.—EARNING POWER 1921

Item	Actual results		Adjusted results (maintenance ratio equalized at 35%)	
	M. K. & T.	'Frisco	M. K. & T.	'Frisco
Fixed interest earned	1.94 times	1.89 times	2.51 times	1.54 times
Total interest earned	1.25 times	1.25 times	1.55 times	1.02 times
Earned on preferred per share	\$8.00	\$46.92	\$17.39	\$3.19
Earned on common per share	0.30	6.08	3.25	Nil

The Prior Lien Bonds. Although the M. K. & T. Prior Lien issue are selling several points lower than the corresponding 'Frisco bonds, the above table shows that they are better secured. For, despite the much heavier maintenance expenditure of "Katy," its fixed interest requirements were earned in 1921 with fully as large a margin. If proper allowance is made for the difference in upkeep, then the superior showing of M. K. & T. becomes very marked.

The Income and Adjustment Bonds. The interest on the M. K. & T. Adjustment 5s will be cumulative after 1925, while the St. Louis-San Francisco Income 6s are permanently noncumulative. During the next three years at least one-half of the income available for the M. K. & T. Adjustments must be paid in interest. On the base of the earnings of 1921, it is probable that the income bondholders will receive the full 5% for this year.